

Marvell Technology, Inc.

MRVL NASDAQ

Buy **\$222.37 ▲ 1.62%** 12M Price Target **\$275.00** 52-Week Range **\$67.36 – \$329.88**

Market Cap
\$199.84B

MRVL: AI Silicon Play Caught in Tech Pullback, Setup Building

WHAT HAPPENED

- MRVL bounced +1.6% today after getting slammed Monday (-7.3%) alongside the whole semi complex — Applied Materials, Lam, Monolithic all fell together. That group-selloff pattern tells you this wasn't company-specific; it was macro tech de-risking ahead of tomorrow's Fed meeting (the FOMC decides on interest rates, which sets the tone for all growth stocks).
- The bullish media cycle is picking up — 24/7 Wall Street ran two pieces today, one calling MRVL "the AI boom's secret weapon" and another flagging a Wall Street analyst who thinks it doubles from here. When narrative starts rebuilding after a pullback, it usually precedes a re-rating higher.

WHY IT MATTERS

The stock is down ~33% from its 52-week high of \$329 but still up massively off the \$67 low — so you're buying into a healthy long-term uptrend that's mid-correction, not a broken chart. The options flow is telling: put/call ratio of 0.60 with unusual CALL buying at the \$252.50 strike means smart money is quietly positioning for a bounce, not hedging for disaster. Institutional ownership at 82% (BlackRock, Vanguard, Fidelity all in size) means this stock moves when big funds rebalance — and if the Fed signals dovish tomorrow (cutting rates or hinting at cuts), semis are the first sector to rip. The bigger story: MRVL's custom silicon business for Amazon (Trainium chips) and Microsoft is the actual thesis, and nothing about hyperscaler AI capex has slowed down.

POLICY & POLITICAL WATCH

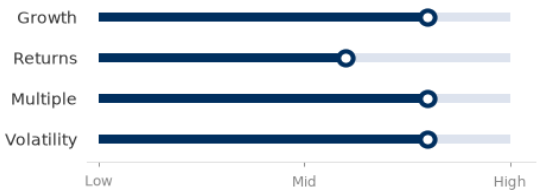
The CHIPS Act subsidies and the ongoing U.S.-China export control regime are net-positive for Marvell — they design chips in the U.S. and their custom ASIC business benefits when hyperscalers are forced to source domestically-designed silicon rather than buying restricted alternatives. Watch the Commerce Department's rumored expansion of AI chip export restrictions to more countries in the Middle East and Southeast Asia this fall — if it tightens, MRVL's addressable domestic market grows; if it loosens as part of a China trade deal, some pricing power evaporates. Also on deck: the FY2027 defense authorization bill has line items for domestic semiconductor procurement that Marvell's networking silicon fits neatly into.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$222.37
12M Price Target	\$275.00
Upside / (Downside)	+23.7%
Market Cap	\$199.84B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.85
FY2027E EPS	\$3.95
Fwd P/E	78.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$228.00	\$205.00
6 Months	\$290.00	\$250.00	\$180.00
1 Year	\$340.00	\$275.00	\$165.00
2 Years	\$425.00	\$320.00	\$150.00
5 Years	\$600.00	\$400.00	\$175.00
10 Years	\$900.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2%) is leading — likely on Middle East geopolitical risk premium and Fed rate-cut expectations that weaken the dollar and lift commodities.

COOLING OFF: Technology (-2.1% over 5 days) and Industrials are seeing profit-taking after a huge summer run — classic pre-FOMC de-risking.

ROTATION WATCH: Money's rotating out of high-multiple tech into cyclical and energy short-term, but this reverses fast if the Fed sounds dovish tomorrow. AI semis specifically have been the source of funds, not the destination — that reverses on any dovish signal.

RELATED PLAY: If MRVL bounces, the ecosystem plays win too — think VRT (Vertiv, data center cooling) and power infrastructure names like GEV that benefit from every AI chip Marvell ships.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Direct MRVL competitor in custom AI silicon — has been the sector leader because Google TPU exposure is proven and monetizing.
- NVDA (Nvidia): Still the AI infrastructure king, sets the tone for the whole complex — when NVDA holds, MRVL eventually follows.

MRVL CONTEXT: MRVL has been LAGGING the AI leader group since June — it's the "value" play in AI silicon right now. That means either the market knows something (execution risk on Trainium) or there's a catch-up trade waiting. History says these gaps close when earnings confirm the story.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Real AI franchise at a reasonable entry after a 33% correction, but macro headwinds keep me from pounding the table.

POSITION SIZE: 3-5% of portfolio — the AI silicon thesis is durable but the stock swings hard, so size it where a 30% drawdown doesn't ruin your sleep.

ENTRY POINTS: I'd scale in around \$210-220 on any tech pullback, and add aggressively if we see \$195 on a broader market flush.

TIME HORIZON: 12-24 months — the catalyst is Trainium 2 ramp and next earnings guide on FY2027 custom silicon revenue.

WHEN TO BAIL: If Amazon publicly diversifies ASIC suppliers, if hyperscaler capex guides down, or if the stock breaks \$180 on volume — that's the technical line where the thesis is questioned.

HEDGING: Simplest hedge — sell covered calls at \$260 to collect income while you wait. Or pair with a small short on a more expensive AI name to neutralize sector risk.